according to the cost per click set by the advertiser, and also by the number of times the ad was clicked by users (called the click-through rate). The position of an ad could go from second or third to first position for a particular keyword.

Let's take an example to see why online advertising is advantageous. Suppose you have a computer accessories shop in Mumbai and want to place an ad. For a size of 2 by 3 inches in the middle pages of a newspaper, it will cost you about Rs 4,000 with a leading one, and most of the time, it will be ignored by the reader. Similarly, a 10-second slot on a leading TV channel will cost the advertiser Rs 1,80,000. And a 10-second slot will not allow brand recall unless it is shown many times over!

TV also isn't suitable if your business is catering to only one city. If you advertise using Google's AdWords, you can set the budget you think is appropriate, and set the cost per click and also target a region. Since you own a computer accessories shop, keywords relating to your business would be "monitor," "keyboard," "mouse," etc. When a Net user types in one of these keywords, your ad is shown in the sponsored links column of the search results, and the position of your ad will be according to the cost per click you'd set. If your cost per click is lower than that of your competitors, the placement of your ad will be lower. But, if the number of clicks to your ad is more, the placement of the ad will rise—irrespective of the cost per click!

All said and done, it is obvious that other media cannot be ignored. When a new product is introduced on media such as TV or radio, it creates an interest in the consumer—which cannot be done online. The reach of TV, radio and newspapers is also far greater than online, at least in countries such as India. Products like beds, food, cars, and so on cannot be sold online. Online advertising can only be good for certain goods and services.